Online-Sensitization of Designated Non-Financial Businesses & Professions.

by

Special Control Unit Against Money Laundering

EFCC

Purpose and Objectives of the Sensitization

- **Purpose:** The purpose of this presentation is to highlight the roles of Designated Non-Financial Businesses and Professions (DNFBPs) under the Money Laundering (Prevention & Prohibition) Act, 2022 .

- **Objectives:** At the end of this sensitization, DNFBPs should be able to:

  - Understand their specific Anti-Money Laundering/ Counter Financing of Terrorism (AML/CFT) obligations under the relevant sections of the laws
  - Put measures in place to ensure compliance with the law
  - Appreciate the penalties for failure to comply with the laws

SENSITIZATION OUTLINE

- Introduction (Functions of SCUML)
- Who Are DNFBPs
- Importance of Sensitization/Training
- Objective of the ML(P&P)A, 2022
- Prohibition of Money Laundering
- Offences and Penalties
- Miscellaneous
- Conclusion

Establishment of the Special Control Unit Against Money Laundering and functions

Section 17 of the Money Laundering (Prevention & Prohibition) Act , 2022 establishes the department SCUML under **the Economic and Financial Crimes Commission (EFCC),** responsible for the supervision of Designated Non-Financial Businesses and Professions (DNFBPs) in their compliance with the provisions of the Act, relevant laws and applicable regulations.

In line with the above, legal framework has been established for SCUML, with availability of criminal and administrative sanctions;

Location of SCUML offices

- SCUML has offices in all the Commands of the EFCC, headed by Coordinators.
- Abuja , Benin, Enugu, Gombe, Ibadan, Ilorin, Kaduna, Kano ,Lagos, Maiduguri, Makurdi, Port Harcourt, Sokoto, and Uyo. (**Only SCUML Lagos is situated out of the Commission's Premises**).

Functions of SCUML

SCUML is charged with the supervision of Designated Non-Financial Businesses & Professions (DNFBPs) in their compliance with the provisions of the Money Laundering (Prevention & Prohibition) Act, 2022 and applicable laws and regulations.

Thus: the functions of the SCUML are to –

- Register and certify of DNFBPs
- Receipt of Currency Transaction Reports(CTRs) & Cash Base Transaction Reports (CBTRs)
- Analysis of Statutory Reports
- Inspections
  - Offsite
  - Onsite
  - Spot
- Sensitization / Training of DNFBPs

Who Are DNFBPs?

- **Section 30 of the ML(P&P)A, 2022** defines DNFBPs as:
- automotive dealers,
- businesses involved in the hospitality industry,
- casinos,
- clearing and settlement companies ,
- consultants and consulting companies ,
- dealers in jewelries,
- dealers in mechanized farming equipment,
- farming equipment and machineries,
- dealers in precious metals and precious stones,

- dealers in real estate ,
- estate developers ,
- estate agents and brokers ,
- high value dealers,
- hotels,
- legal practitioners and notaries,
- licensed professional accountants,
- practitioners of mechanized farming,
- tax consultants ,
- trust and company service providers,
- pool betting,
- and such other businesses and professions as may be designated by the Minister responsible for Trade and Investment.

- In line with the powers vested on the Minister and the first schedule of **the Economic and Financial Crimes Commission (Anti-Money Laundering , Combating the Financing of Terrorism and Countering Proliferation Financing of Weapons of Mass Destruction for the Designated Non-Financial Businesses and Professions, and Other Related matters)** following are additional designations :
- Chartered Accountants
- Accountants & accounting firms
- Audit Firms
- Clearing & Forwarding
- Mortgage brokers
- Construction companies

Importance of Anti-money Money Laundering (AML) sensitization

- Sensitization and awareness-creation has long been recognized as key AML/CTF (counter money laundering and terrorist financing) controls.
- Employees are a firm's best defense against money launderers and terrorist financiers who may try to abuse the services it offers for their own illegal purposes.
- By not providing basic AML/CFT knowledge, it makes it easier for organized criminals to launder the proceeds of their crimes into the financial system, hitherto, undermining the Nigerian economy and becoming unwitting accessories these crimes.

Purpose of AML/CFT sensitization?

- To equip DNFBPs with basic AML/CFT knowledge to effectively recognize red-flags and suspicious transaction or activity (ies).
- To inform DNFBPs of their statutory obligations to recognize and report suspicious transactions or activity to the organization's money-laundering reporting officer also known as Chief Compliance Officer (CCO) for onward submission to SCUML.

If DNFBPs can do this, then it will be a step towards making Nigeria a more hostile environment for criminals to successfully launder their proceeds of crime.

An overview of the Money Laundering (Prevention & Prohibition) Act, 2022 & Terrorism (Prevention & Prohibition) Act, 2022

WHAT IS MONEY LAUNDERING & TERRORISM FINANCING

- **Money Laundering** is a process by which criminals attempt to hide or disguise the true origin and ownership of their ill-gotten wealth to make it look legitimate. The purpose is to avoid prosecution, conviction and confiscation of the ill-gotten wealth.(Financial Action Task Force 2012).
- **Terrorism Financing** involves the solicitation , collection or provision of funds with the intention that they may be used to support terrorist acts or organizations . Funds may stem from both legal and illicit sources, a person commits the crime of financing of terrorism “if that person by any means , directly or indirectly , unlawfully and lawfully , provides or collects funds with the intention that they should be used or in the knowledge that they are to be used , in full or in part , “in order to carry out” an offence within the scope of the convention.

The Effects of Money Laundering and Terrorist Financing

- Money Laundering and Terrorist Financing have devastating effects on the economy and national security which could also damage the image and reputation of a country . It provides the fuel for drug dealers, corrupt public officials and others to operate and expand their criminal enterprise. Other effects include:
- Undermining legitimate private sector efforts
- Undermining the integrity of financial markets
- Loss of control of economic policy
- Economic distortion and instability
- Loss of revenue
- Risk to privatization efforts
- Reputation risk and social costs

THE MONEY LAUNDERING (PREVENTION AND PROHIBITION) ACT, 2022

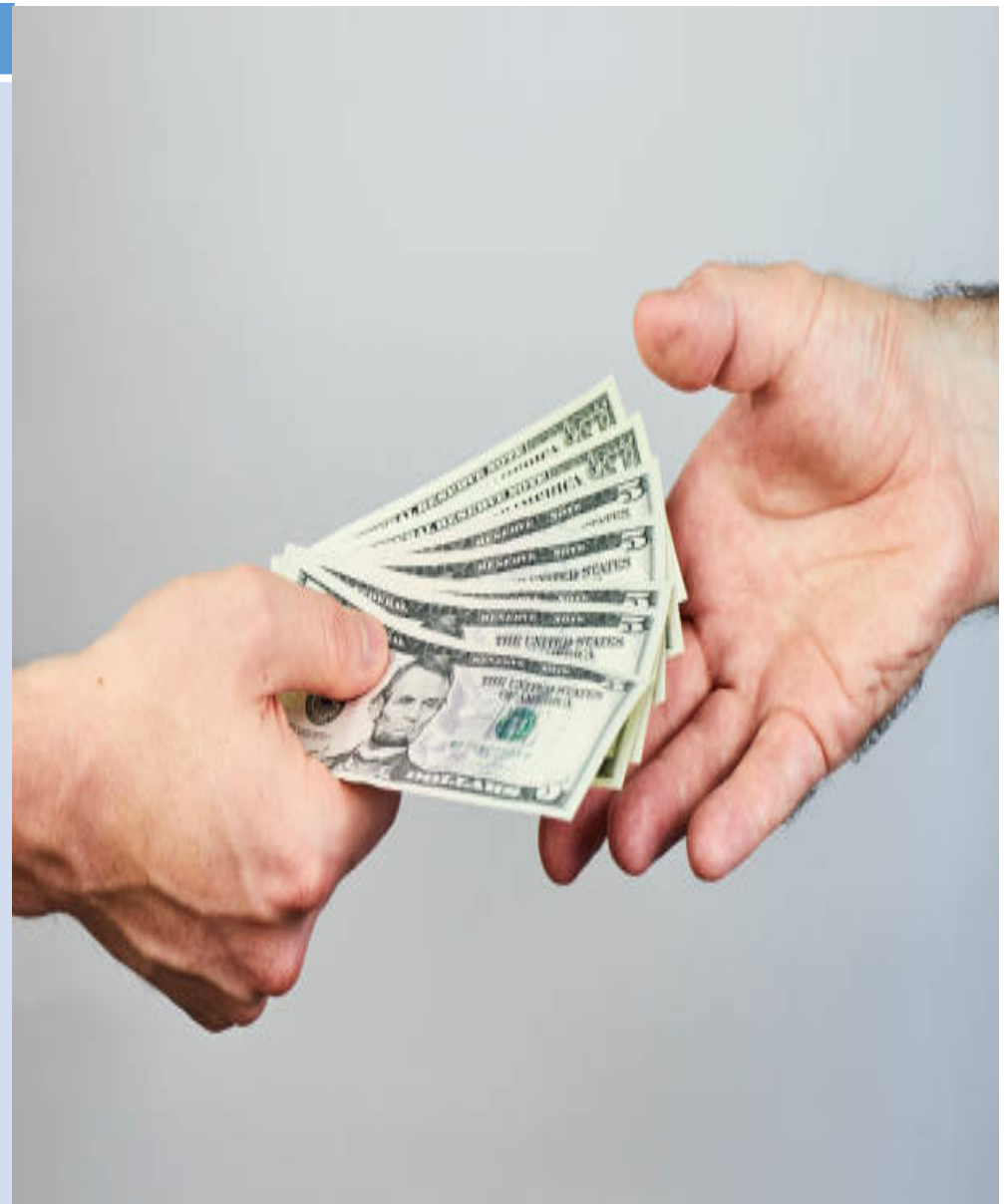
PART I – OBJECTIVE OF THE ACT

Section 1: The objectives of this Act are spelt out under section 1 (a) – (e) of the Act, as follows –

- provide for an effective and comprehensive legal and institutional framework for the prevention, prohibition, detection, prosecution and punishment of money laundering and other related offences in Nigeria;
- strengthen the existing system for combating money laundering and related offences;
- make adequate provisions to prohibit money laundering;
- expand the scope of money laundering offences and provide appropriate penalties;
- establish the Special Control Unit Against Money Laundering under the EFCC for the effective implementation of money laundering provisions in relation to Designated Non-financial businesses and professions.
- The Act repealed the Money Laundering (Prohibition) Act, 2011

Limitation to make or accept cash payment:

Obligation	Penalty
Sec. 2(1) No person or body corporate shall, except in a transaction executed through a licensed financial institution, make or accept cash payments of a sum exceeding N5,000,000 (Five Million Naira) or its equivalent in the case of an individual, or N10,000,000 (Ten Million Naira) or its equivalent in the case of a body corporate. **Sec. 2(2)** A person shall not conduct two or more transactions with one or more FIs/DNFBPs with intent to avoid reporting threshold transaction	➢ Transacting above the threshold in cash is not acceptable . ➢ Administrative fines will be meted on defaulters

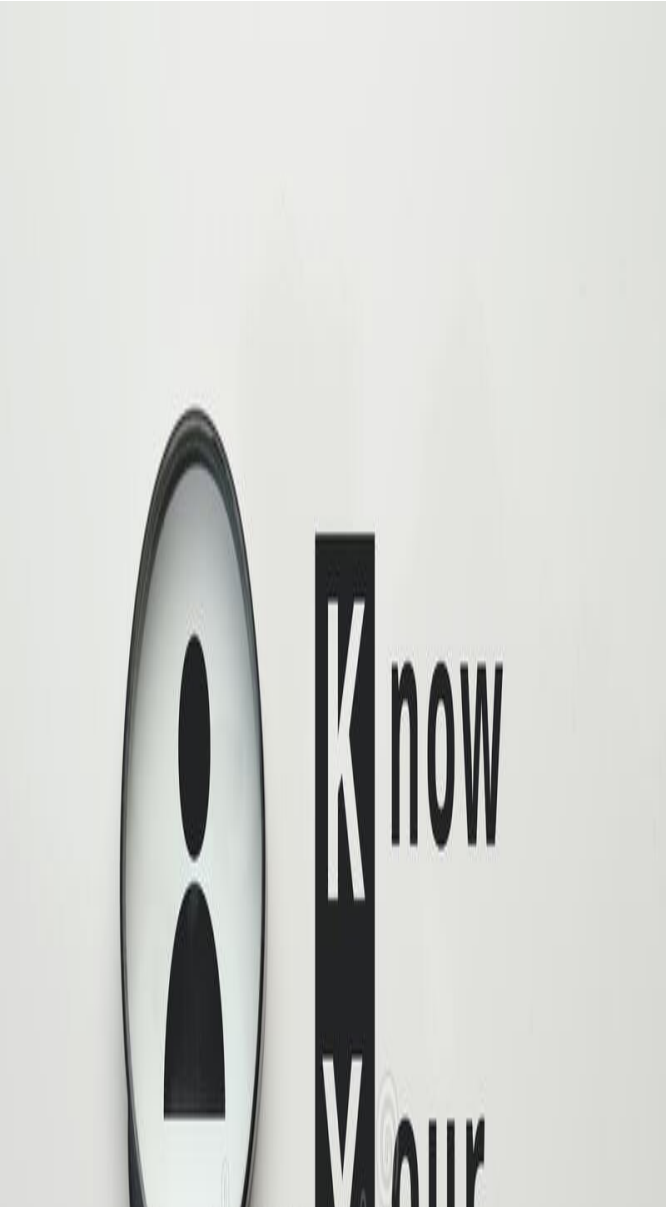


Duty to report international transfer or transportation of funds, securities and cash

Obligation	Penalty
Section 3: Under section 3 (1) of the Act a transfer to or from a foreign country of funds or securities by a person or body corporate including a Money Service Business of a sum exceeding US$10,000 or its equivalent shall be reported to the Unit, Central Bank of Nigeria, Securities and Exchange Commission in writing within one day from the date of the transaction. The report shall indicate the nature and amount of the transfer, the names and addresses of the sender and the receiver of the funds or securities. Sec 3(5): False Declaration of Funds to	A person who falsely or fails to make a declaration to appropriate authorities is liable upon conviction to Imprisonment of 2 years ➢ Forfeit un-declared

Customer Identification

Obligation	Penalty
Sec. 4(1) , a FI and a DNFBP is obliged to identify a customer and verify the identity of that customer using reliable, independent source documents data or information ; •identify the beneficial owner and take reasonable measures to verify the identity of the beneficial owner using relevant information or data obtained from a reliable source such that the Financial Institution or the Designated	➢ Failure to carry out KYC a fine of N250,000. for each day the offence continues ➢ Failure to know beneficial owners of transactions attracts administrative fines



Subscription to the the Nigerian Sanction Committe

Obligation	Penalty
Targeted Financial Screening:' DNFBPs are to screen their customers and customers transaction in line with United Nations Consolidated Sanctions List and The Nigeria Sanction List to ensure that proscribed individuals and entities do not have control and access to DNFBP •Subscription to the Nigeria Sanction List is mandatory via www.Nigsac.com **(FREE)** Update all relevant information on the	➢ It is mandatory for DNFBPs to subscribe ➢ Suspension, revocation or withdrawal of license by the appropriate licensing authority as the circumstances may demand.

Duties incumbent upon casinos.

Obligation	Penalty
Sec. 5(1) of the Act, a casino is obliged to verify the identity of any of its customers carrying out financial transactions by requiring its customer to present a valid original document bearing his name and address; record all transactions under this section in chronological order including the nature and amount involved in each transaction; and each customer's surname, forenames, and address, in a register forwarded to the SCUML for that purpose In this section, "casino" whether licensed or not includes include internet casinos, a building or room used for meetings, entertainment, gambling or dancing and equipped with gambling devices and gambling tables	

Declaration of Business Activities

Obligation	Penalty
• **Sec 6:** A DNFBP shall submit an online declaration of its activities to SCUML (**REGISTRATION IS FREE)** • Transactions exceeding USD1,000 or its equivalent in CASH shall be reported to SCUML within 7days of the transaction	Liable upon conviction : A) fine of N 250,000 for each day the offence continues b) Suspension , revocation or withdrawal of license by appropriate licensing authority

SPECIAL CONTROL UNIT AGAINST MONEY LAUNDERING
(SCUML)

Certificate of Registration

INTERNATIONAL FELLOWSHIP OF FAITH MINISTRY NIGERIA

Has been duly registered in accordance with the provisions of
Section 5 (1) (a) and (4) of the
Money Laundering (Prohibition) Act, 2011.

IFFM Nigeria Website Display Copy

Director

Date of Issue 19th AUGUST 14

Suspicious Transaction Reporting

Obligation	Penalty
Sec. 7 : Where a transaction— • involves a frequency which is unjustifiable or unreasonable ; • is surrounded by conditions of unusual or unjustified complexity ; • appears to have no economic justification or lawful objective • Suspicious transactions are filed to the Nigerian Financial Intelligence Unit (NFIU) via dnfbp@nfiu.gov.ng	a) Place a stop order not exceeding 72 hrs on accounts deemed to be involved in unlawful act b) Liable on conviction to a Fine of N1,000,000 for each day the offence continues

Preservation of Records

Obligation	Penalty
Sec. 8: DNFBPs shall preserve records of their customers and all financial dealings (both domestic and international) All records obtained under section 4 of the ML(P&P) Act, 2022 (KYC/CDD) must be kept for a period of not less than 5 years from the time of severance of business relationship.	Administrative Sanctions /Fines

Communication of information

Obligation	Penalty
Sec. 9 Records must be kept and communicated on demand from time to time to law enforcement agents /agencies	

Internal Procedures, Policies and Controls

Obligation	Penalty
Sec. 10 • Development of programs and training for its employees. • Designation of compliance officers at management level. • Centralization of information • Internal anti ML/FT policies	➢ Failure to train and review policies also attracts administrative fines ➢ Failure attracts Administrative Fines ➢ Failure to develop AML/CFT.CPF programmes attracts a fine of not less than N1 million for professionals and a fine of N500,000 for businesses ➢ In aggravated circumstances :

Mandatory disclosure by DNFBPs

Obligation	Penalty
Sec. 11 Obligation to report to the Commission in writing within 7 days any single transaction, lodgment or transfer of funds in excess of(a) ₦5,000,000 or its equivalent, for an individual; or(b) ₦10, 000,000 or its equivalent, for a body corporate. **Reports are submitted online www.scuml.org and enquiries sent to infoscuml@efcc.gov.ng**	• A fine of N250,000 for each day the offence continues and not more than N1,000,000 for each day the offence continues. • Suspension, revocation or withdrawal of license by the

OTHER OFFENCES

SECTION	OBLIGATION	PENALTIES
Section 17: Establishment of SCUML	SCUML under the Economic and Financial Crimes Commission (EFCC) is responsible for the supervision of DNFBPs in their compliance with the MLPP A 2022 and applicable regulations	Non- Compliance with ML(P&P) A 2022, laws and regulations is liable to penalties and administrative fine or both
Section 18: Money Laundering Offences	Money Laundering is prohibited in Nigeria Any person or body corporate who engages in such knowingly or unknowingly conceals ,converts . acquire or remove from jurisdiction fund or property derived from proceeds of crime	Liable upon conviction : ➢ To a term of not less than 4 years but not more than 14 years ➢ Body Corporate: A fine of not less than 5 times the value of the proceeds of the crime/funds/properties acquired ➢ Withdrawal of license ➢ Withdrawal /revoke of certificate

OTHER OFFENCES

SECTION	OBLIGATION	PENALTIES
Section 19: Other Offences	Any person who being a Director or an employee of a DNFBP who contravenes sections 2.3.4.5.6.7.8.9, 10 & 11 commits an offence	Is liable on conviction to ➢ imprisonment for a term not less than 2 years or a fine of not less than N10,000,000 (individual, N25,000,000 (body corporate) ➢ May be banned indefinitely or for period of 5 years from his profession ➢ Any disciplinary actions as meted with its profession or administrative sanctions
Section 22 offences by body Corporate	When an offence has been committed by a body corporate due to the negligence of its manager, secretary or any officer of the body where applicable commits an offence.	➢ Is liable to be proceeded against and punished accordingly ➢ The court may order that the body corporate shall, be wound up and all its properties forfeited to the FGN

OTHER OFFENCES

SECTION	OBLIGATION	PENALTIES
Section 24 Power to demand and Obtain records	For the purpose of this Act , the Director of Investigation or an officer of the EFCC duly authorized in that behalf may demand, obtain and inspect the books and records of the DNFBP to confirm compliance with the provisions of this Act	
Section 25: Obstruction of Authorized Officers	A person who wilfully obstructs officers in the exercise of the powers conferred on the competent authority	Is liable on conviction to ➢ In the case of an individual to imprisonment for at least 2 years and not more exceeding 3 years and ➢ b) In the case of a body corporate to a fine N1,000,000

RECOMMENDATIONS

- You are advised to download and read the MLPPA 2022 (SCUML website)
- It is recommended that we all strengthen our human capacity to understand the current phase of AML/CFT in the world in order to ensure that our efforts are not in vain.

Conclusion

- In finding solution to the problems associated with ML/TF there is need for collaboration between the anti-money laundering agencies and stakeholders, including individuals and organizations.

- This is crucial if we are to make a difference in curbing the money laundering phenomenon.

- Stakeholders engaged in fighting ML/TF need to share a common vision and forge partnership.

- Need for enhanced collaboration among law enforcement, regulators and DNFBPs.

Thank You!

SCUML
Special Control Unit
against Money Laundering

ECONOMIC AND FINANCIAL CRIMES COMMISSION

AML/CFT COMPLIANCE CHECKLIST FOR DNFBPS

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AML/CFT COMPLIANCE CHECKLIST FOR DNFBPS

S/N	Required Action	Compliance Checks / Key Questions	Penalty for Non-Compliance
1	**Prohibition on acceptance and receipt of cash payments above thresholds (Section 2 ML(PP)A 2022)**	- Are all client payments above N5,000,000 (individual) or N10,000,000 (corporate) made through financial institutions?- Does the company maintain records of payment methods for each transaction?	Fine: N4,000,000 (professionals) or N2,000,000 (businesses). In aggravated cases, criminal prosecution under ML(PP)A 2022.
2	**Identification of clients/customers with valid official identification documents**	- Are clients identified and verified before any transaction?- Are copies of IDs retained and validated?- Is there a checklist for KYC compliance?	Fine: N2,000,000 (professionals) or N1,000,000 (businesses). Criminal prosecution in aggravated cases.
3	**Declaration of business activities to SCUML**	- Has the company registered with SCUML and obtained a certificate?- Is the SCUML certificate displayed and renewed as required?- Are new business lines declared to SCUML?	Fine: N200,000 (professionals) or N100,000 (businesses). Criminal prosecution in aggravated cases.
4	**Reporting of occasional cash transactions exceeding $1,000 or equivalent**	- Are cash transactions exceeding $1,000 recorded and reported to SCUML/NFIU?- Is there a transaction monitoring system to flag such cash deals?- Are employees aware of reporting obligations?	Fine: N50,000 per unreported transaction (for both professionals and businesses). Criminal prosecution in aggravated cases.
5	**Establishment of internal policies, procedures, and controls to detect and report suspicious transactions**	- Does the company have a written AML/CFT/CPF policy?- Is there a designated compliance officer?- Are staff trained periodically on AML obligations?- Are suspicious transactions escalated for review?	Fine: N2,000,000 (professionals) or N1,000,000 (businesses). Criminal prosecution in aggravated cases.
6	**Filing of Suspicious Transaction Reports (STRs)**	- Are STRs filed promptly with SCUML/NFIU when suspicious activity is detected?- Are STR decisions	Fine: N2,000,000 (professionals) or N1,000,000 (businesses). Criminal prosecution in aggravated cases.

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S/N	Required Action	Compliance Checks / Key Questions	Penalty for Non-Compliance
		documented and approved by compliance officer or management?- Is there a record of all filed STRs?	

AML/CFT COMPLIANCE CHECKLIST FOR DNFBPS

S/N	Required Action	Compliance Checks / Key Questions	Penalty for Non-Compliance
7	**Report threshold transactions as required by law**	• Has the company reported any transaction, lodgment, or transfer of funds above N5,000,000 (individual) or N10,000,000 (corporate body)? • Were reports submitted within 7 days of the transaction?	Fine of N100,000 for each unreported transaction. In aggravated circumstances, criminal prosecution applies.
8	**Conduct Targeted Financial Sanctions (TFS) Screening**	• Are all customers and transactions screened against the UN Consolidated Sanctions List and Nigeria Sanctions List? • Is there a documented process for sanctions screening and escalation of matches?	Fine of N1,000,000 per violation (professionals) or N500,000 (businesses). In aggravated cases, criminal prosecution applies.
9	**Register with the Nigeria Sanctions Committee Alert System**	• Has the company registered with the Nigeria Sanctions Committee Alert System? • Is the system actively monitored for updates and alerts?	Fine of N500,000 (professionals) or N300,000 (businesses) for failure to register. In aggravated cases, fine of N1,000,000 or criminal prosecution applies.
10	**Obtain and maintain valid SCUML registration and professional licenses**	• Is the company duly registered with SCUML? • Are all business and professional licenses valid and up to date?	Fine of N2,000,000 (for both professionals or businesses) depending on severity. In aggravated cases, criminal prosecution applies.

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AML/CFT COMPLIANCE CHECKLIST FOR DNFBPS

11	**Maintain adequate records of transactions**	- Are transaction records maintained in a manner that permits easy reconstruction of each transaction? • Are records kept for the required minimum period (at least five years)?	Fine of N300,000 (Professionals) or N200,000 (Businesses) and a warning letter for minor breaches. N500,000 fine if violation recurs after a warning, with escalation to SCUML and relevant SRO for additional punishments.
12	**Communicate AML/CFT/CPF policies and procedures to all employees**	- Has every employee been trained on the company's AML/CFT/CPF policies and procedures? • Are employees aware of their roles and reporting obligations?	Fine of N200,000 (Professionals) or N100,000 (Businesses). Fine of N500,000 if the violation persists for a period of six (6) months.
13	**Appoint a Compliance Officer at management level**	- Has a Compliance Officer been appointed at management level? • Does the officer have clearly defined AML/CFT/CPF duties and responsibilities?	Fine of N150,000 (both professionals or businesses) where no appointment evidence exists. For non-appointment beyond six (6) months, N500,000 monthly until compliance.
14	**Implement AML/CFT/CPF training for all categories of employees**	- Implement AML/CFT/CPF training for all categories of employees	Fine of N300,000 (professionals) or N150,000 (businesses) for failure to train employees. Where the violation continues for more than two (2) years. N1,000,000 penalty shall apply.

15	**Classification of customers into Risk Categories and apply Customer Due Diligence**	• Are customers classified into Risk Categories? • Is Customer Due Diligence carried out accordingly?	A warning letter for minor breaches (for professionals and businesses). A penalty of N500,000 if violation recurs after a one (1) year, with observation of a SCUML officer.

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AML/CFT COMPLIANCE CHECKLIST FOR DNFBPS

16	**Put-in place ML, TF and PF risk classification system in accordance with National Risk Assessment and Risk Based Guidance**	• Do you classify place ML, TF and PF risk? • Is classification system in accordance with National Risk Assessment and Risk Based Guidance in place?	Fine of N250,000 (for professionals and businesses). A fine of N500,000 if the violation persists for more than one (1) year with a SCUML examiner observation.
17	**Obtain information on beneficial owners in transactions where the customer is an intermediary or representative of another party in all circumstances or form such representation may take**	• Is information on beneficial owners in transactions collected? •	Fine of N500,000 (professionals) or N250,000 (businesses). A penalty of N1,000,000 if violation recurs after one (1) year a SCUML examiner observed the violation.
18	**Remedial Action- preparation and maintenance of records of observed deficiencies in the AML, CFT and policies procedures of DNFBPs and records of remedial actions taken by the Internal Audit**	• Implement and maintain records of observed deficiencies in the AML, CFT and CPF policies procedures of DNFBPs and records of remedial actions	Fine of N100,000 and a warning letter (professionals) or N50,000 and a warning letter (businesses).

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AML/CFT COMPLIANCE CHECKLIST FOR DNFBPS

19	**Ensure Management or Compliance Officer does not override approved AML/CFT/CPF controls**	• Are AML/CFT/CPF controls strictly followed without interference? • Are there safeguards preventing management or compliance officers from overriding controls?	Fine of N500,000 (professionals) or N250,000 (businesses) depending on severity. Suspension of professional license for two years where override occurred. Stricter sanctions if override facilitates ML/TF activities.
20	**Establish monitoring mechanisms for Politically Exposed Persons (PEPs)**	• Does the company have systems to identify and monitor PEPs? • Are PEP transactions subject to enhanced due diligence?	Fine of N500,000 (professionals) or N300,000 (businesses). N1,000,000 penalty if violation continues beyond two (2) years. SCUML may escalate to SRO for additional sanctions.
21	**Ensure Internal Audit has capacity to review AML/CFT compliance functions**	• Does the internal audit department conduct AML/CFT reviews? • Is there evidence of capacity (training, staffing, and tools)? Is the auditor trained on AML/CFT compliance?	Fine of N250,000 (professionals) or N150,000 (businesses). Where violation persists for more than two (2) years, monthly penalty of N500,000 applies.
22	**Conduct periodic AML/CFT/CPF compliance reviews and update findings**	• Does the internal audit or compliance unit conduct periodic reviews? • Are compliance gaps documented and corrective actions implemented?	Fine of N150,000 (professionals) or N100,000 (businesses). For non-compliance after six (6) months, an additional fine of N500,000 applies until compliance is achieved.
23	**Review and Update AML/CFT/CPF Policies and Procedures after every three (3) years**	• Does your company review and update **AML/CFT/CPF** policies after every three (3) years?	Fine of N200,000 (professionals) or N100,000 (businesses) with evidence of revised policies. In aggravated circumstances a fine of N500,000 with evidence of revised policies.

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